

Cleanup Corporation (7955.T)

Full court · v1.6 · 2026-08-03

Verdict: WATCH 5/10 · **Class:** RISK_PREMIUM (RP_FAIR) · **Band:** ¥780–830 · **Gate:** Q1 print 2026-08-07

Verdict: WATCH 5/10. Risk-premium class, not edge. Entry band ¥780–830, gated on the August 7 print. Spot ¥906 (IBKR, TSEJ). Market cap ¥32.1B / ~\$205M.

What changed during the court: it opened as a STARTER 6/10 on the strength of a cheap-asset case plus a currency tailwind. The red team took away both the dislocation framing and the currency leg. What survives is narrower and more honest: a fairly-priced low-return manufacturer whose asset backing is real and whose management has asserted a margin path it has not yet delivered.

The four ideas

1. What the market believes. A Japanese system-kitchen maker earning a 2.9% operating margin on ¥134.5B of revenue is a low-return manufacturer in a market with structurally declining housing starts, and $0.53\times$ book is the correct price for that. This view is *better supported than value screens admit*: at a 5.6–6.0% return on equity, residual-income maths puts justified price-to-book at $0.57\text{--}0.66\times$ depending on the cost of equity you use. **Spot is roughly fair on current earnings.** The market is not making a mistake about what this business earns today.

2. What we believe. Two things, neither of which requires the market to be wrong about today:

- **The asset floor is unusually hard.** Net cash of ¥11.94B covers 37% of the market capitalisation, and current assets net of *all* liabilities cover 74%. This is the only name in the ten-name EDINET batch whose sub-book status survives the strict denominator — $0.53\times$ on net assets and $0.57\times$ on shareholders' equity. Six other names in the batch stopped being cheap once the honest denominator was used; this one didn't need the flattery.
- **Management has asserted the margin path and, once, acted on it.** FY3/27 guidance is revenue +5.6% with recurring profit +20.1%. If it lands, return on equity moves to roughly 7.2% and justified price-to-book to $\sim 0.89\times$ — about ¥1,520. In February 2026 the company executed a buyback **with cancellation**, which is an action rather than an intention, and it raised the dividend from 31 to 33 before holding it.

3. Why this might be edge — honestly, it is thin. The classification is RISK_PREMIUM, not EDGE. The one genuine informational asymmetry is the denominator test: most screens carry this

at a looser book basis, and most people who look at Japanese small caps do not distinguish between a discount that survives treasury-share and equity-basis adjustment and one that does not. That is a small, real, and shrinking edge. Everything else here is a *fairly-paid* proposition: you are paid a 3.63% dividend and a 6% free-cash-flow yield to wait on a call option over management's own guidance.

4. Why it may be priced in / why we may be wrong. The market is pricing the base case at near-certainty. Solving spot against our own scenario prices implies roughly a 0.94 probability on the base case and a *negative* weight on the bull — which means our entire modelled edge comes from assigning a **lower** probability to the bear case than the market does, not from any optimism about the upside. That is a fragile place for an edge to live.

Red team — the six shots, and which landed

#	ATTACK	OUTCOME
RT1	The dislocation framing is false. The stock is up 23.8% over twelve months and only 17% below its 52-week high. It ran ¥856→1,092 (+27.6%) into February and round-tripped. This is a name that already re-rated once.	LANDED. Conceded in full. I applied exactly this window-anchoring test to RIKEI earlier the same day and failed to apply it here. Discovery state is <i>discovering</i> , not undiscovered.
RT2	The currency leg is weakest precisely where I claimed it strongest. Cleanup builds <i>stainless-steel</i> kitchens, and Japanese stainless is overwhelmingly domestically sourced (Nippon Steel, JFE, Nippon Yakin). My assumed ~25% imported input share was an unsourced guess. At 10% the profit lift falls from ~+25% to ~+10%.	LANDED. The FX overlay is demoted from a thesis pillar to unquantified optionality, and is excluded from the entry decision until procurement disclosure is read.
RT3	Where does +5.6% revenue come from? Japanese housing starts are in demographic decline. The profit leverage is arithmetic <i>if</i> revenue lands; the revenue assumption is unexamined.	LANDED. No evidence produced. This is now a named gate rather than an assumption.
RT4	A 6% ROE business should trade below book — 0.53× may be fair, not cheap.	PARTIALLY LANDED — and it produced the actual thesis. Justified price-to-book at today's earnings is 0.57×, essentially spot. But that means the market prices <i>zero</i> improvement: the downside is in the price, the upside is the guide. The asymmetry is real but guide-dependent.
RT5	The February buyback's yen size is unverified in our own intake. A token buyback proves nothing.	LANDED. Verification required before it counts as governance evidence.
RT6	~46% of the register is locked (Inoue vehicle 23.6% plus supplier, dealer and employee associations) — no external party can force a return.	STANDS, but priced. Return happens only if management chooses it; they have once. That is evidence, not a guarantee.

Net effect: score 6 → 5, band lowered from ¥820–880 to ¥780–830, FX leg removed from the entry case.

Valuation

Book value per share implied by 0.53× at ¥906 is roughly **¥1,717**.

SCENARIO	P	FAIR VALUE	BASIS
Bear — guide missed, revenue –5%, margin ~1%	0.30	¥760	52-week-low zone; the net-cash floor holds it
Base — guide roughly lands, ROE ~7%	0.50	¥1,080	Justified P/B 0.71–0.75× — also the February 2026 high
Bull — margin normalises toward 4%, FX relief real	0.20	¥1,400	Justified P/B ~0.85× on normalised earnings

Expected fair value ¥1,048 against spot ¥906 — a 15.7% edge, sourced entirely from the bear weight. At a 2.9% margin, a high-single-digit revenue decline takes operating profit to approximately zero: the operating leverage that makes the bull case cuts identically the other way.

Catalysts (probability × timing × magnitude)

CATALYST	DATE	P FAVOURABLE	MAGNITUDE	LEADING INDICATOR
Q1 FY3/27 tanshin	2026-08-07	0.55	±8–12% on the day	Japanese housing starts; LIXIL/TOTO Q1 commentary
H1 FY3/27 — the gross-margin FX test	2026-11	0.45	Decides the FX leg cohort-wide	Yen level holding below ~160
Further buyback / cancellation	Undated; watch the February anniversary	0.35	5–10% re-rate	TSE capital-policy filings
TSE Prime capital-policy escalation	Ongoing	0.25	Slow re-rate	Policy, not an event

The August 7 print is struck at **pre-surge exchange rates**, so it tests the pre-existing margin story only. The currency effect, if it exists at all, appears in second-half guidance.

Entry plan

- **Band ¥780–830** — $0.45\text{--}0.48\times$ strict book, deliberately *below* the $0.57\times$ justified price-to-book at today's earnings, so the entry pays for the bear case rather than the base case. That is 9–14% below spot.
- **Size 0.35% starter**, scaling to 0.7% only after one clean quarter of the guided margin *and* verification of the buyback's size.
- **Gate:** the August 7 print first. No pre-positioning — the margin-leverage argument is the entire case and the guide is its only evidence.
- Limit orders only, TSEJ, 100-share board lot. Liquidity is the best in the batch relative to position size.

Kill triggers

- Revenue declines more than 5% year-on-year in any quarter — a 2.9% margin cannot absorb it.
- FY3/27 guidance withdrawn or cut.
- No further buyback or dividend action within twelve months of the February cancellation — the register argument dies without management choosing return.
- USD/JPY back above 162 (removes what remains of the FX optionality).

Adjudication spec

- **2026-08-07** — is recurring profit tracking the +20.1% guide on a pre-FX basis?
- **2026-11** — does gross margin expand with the yen? This is the falsifiable FX test, and it grades the whole yen-surge cohort, not just this name.
- **2027-08-03** — grade the RISK_PREMIUM classification against TOPIX Small and SPY.

Verification table

CLAIM	SOURCE	STATUS
Spot ¥906, 52-week range 732–1,092, +23.8% over 1y	IBKR TSEJ daily bars, this session	VERIFIED
USD/JPY 163.85 → 157.19 (+4.2% yen)	IBKR IDEALPRO daily mid	VERIFIED
P/B $0.53\text{--}0.57\times$ on both denominators; net cash ¥11.94B; EV/EBIT $5.1\times$	EDINET annual securities report FY3/2026, extracted by the triage lane	SECOND-HAND — not read at primary source
FY3/27 guidance +5.6% revenue / +20.1% recurring profit	Same	SECOND-HAND
Buyback with cancellation, February 2026	Same	SIZE UNVERIFIED

Imported share of cost of goods	—	UNVERIFIED — the entire FX leg rests on it
Register ~46% locked	Same	SECOND-HAND

Court record: inline advance court, main session, 2026-08-03 (subagent budget exhausted). Generator was the mechanical EDINET shelf plus the FX overlay, so the generator-never-grades-itself invariant holds. Red team and blue response run inline — noted as a **weaker check than an independent adversarial agent**, and the score is held at 5 partly for that reason.